CASE STUDY 01

Tracing ₹347 Crore of Lender Exposure Through 13 Entities

Fraud investigation for a bank-led lending consortium: fund-flow tracing, end-use testing and related-party disclosure review.

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Client names and identifying details have been withheld. Prepared by Archish Chugh for portfolio purposes; this is not an EY publication and does not represent the views of any client.

CASE STUDY 01 · BANKING · FORENSIC INVESTIGATION

Tracing ₹347 Crore of Lender Exposure Through 13 Entities

Worked on a borrower account that a bank-led group of lenders had taken to the insolvency tribunal. The task was to show where the loan money actually went, and whether the promoters had hidden this from the lenders and the market.

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CLIENT TYPE	ROLE	PERIOD REVIEWED	CONTEXT
Bank-led lending consortium	Senior Analyst, EY	FY 2008-09 to FY 2017-18	Insolvency (IBC / CIRP)

EXECUTIVE SUMMARY

SITUATION

A bank-led group of lenders had taken a borrower to the insolvency tribunal, with ₹347 crore of exposure.

CHALLENGE

Ten financial years of records (FY 2008-09 to FY 2017-18) across 13 entities, with many flows set up to look like normal trade.

APPROACH

Checked how loans drawn by the CEO, CTO and directors were used against the sanction letters, traced fund flows, and tested related-party disclosures.

RESULT

Over ₹200 crore found diverted. Fake purchase and billing entries mapped as evidence. Evidence pack and control recommendations given to the lenders.

₹347 cr	₹200 cr+	13	10 yrs
lender exposure under investigation	identified as diverted	entities mapped, including the borrower	of financial statements, annual reports and bank records

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Background

The lenders had classified the account as non-performing and started insolvency proceedings. They suspected that loan money had been moved into companies connected to the promoters rather than used for the purposes it was sanctioned for. Every finding had to be backed by a document, as it would be used before the tribunal.

The records were spread across a decade of audited financial statements, annual reports, bank statements, sanction letters and corporate registry filings for 13 entities. Many of the flows had been set up to look like ordinary trade.

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Approach



1 **Scope and hypotheses**
Set out the lenders' concerns as testable hypotheses: diversion, siphoning, round-tripping and undisclosed related parties. Collected sanction letters and loan agreements to fix the permitted end use.

2 **Entity universe**
Used corporate registry research to link directors, shareholders and addresses, and grew the network from the borrower to 13 connected entities.

3 **Build the data**
Converted ten years of bank statements and financials into one transaction dataset, tagged by entity, counterparty, amount and date.

4 **End-use testing**
Matched each large drawdown, including loans drawn by the CEO, CTO and directors, to its sanctioned purpose, and flagged outflows that went to group companies soon after disbursement.

5 **Trade substance**
Tested purchase and sales entries for real goods movement: invoices with no delivery trail, circular billing, and counterparties with no operations.

6 **Disclosure check**
Compared the related-party transactions found with what the annual reports disclosed under SEBI rules and IAS 24 principles.

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Evidence pack

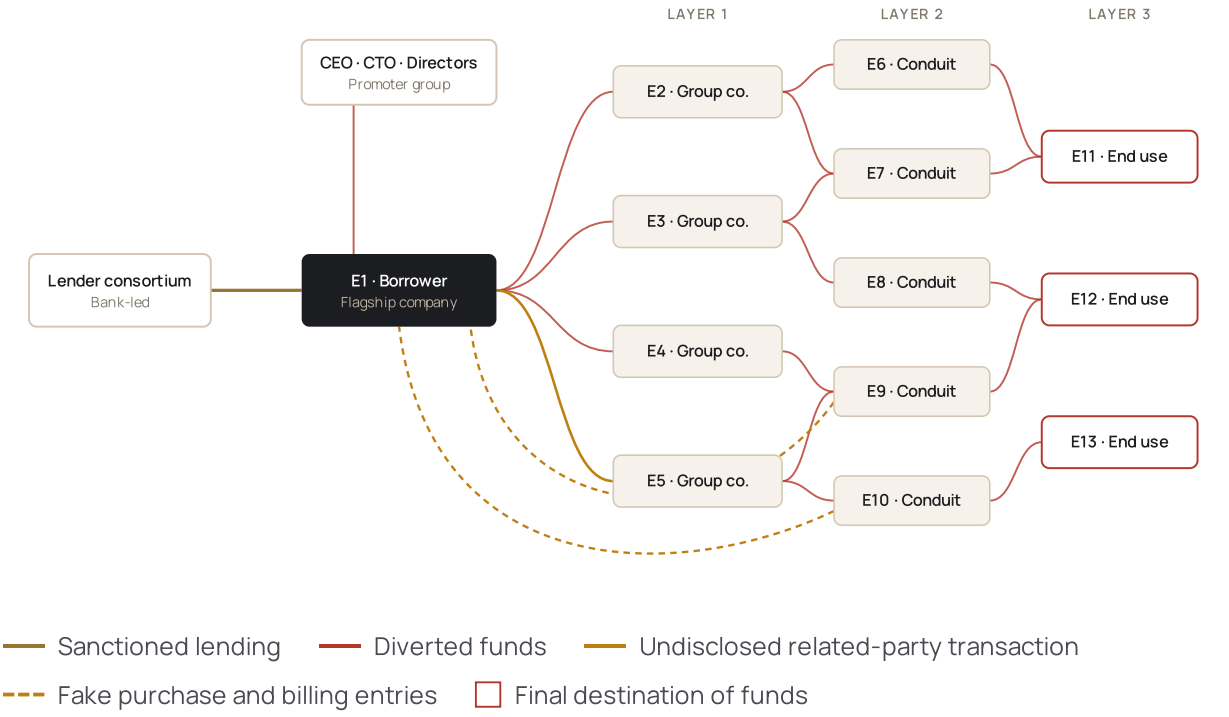
Put together fund-flow charts, a transaction schedule and a document index, each linked to a source document, for the lenders and their counsel.

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How the Funds Moved

Exhibit 1: Fund-Flow Map Across 13 Entities

Schematic. Entity names withheld. Hover over a line or box for detail.



Source: engagement analysis of financial statements, annual reports and bank records, FY 2008-09 to FY 2017-18. Schematic; entity names withheld and layer structure simplified.

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Findings

FINDING	FINDING DETAIL	RAG RATING
Diversion of funds	Loans drawn by the CEO, CTO and directors did not match their sanctioned purpose. Money reached group entities soon after it was disbursed.	CRITICAL

FINDING	FINDING DETAIL	RAG RATING
Undisclosed related parties	Transactions with connected entities were missing from the related-party disclosures required by SEBI.	CRITICAL
Fake purchases and billing	Purchase and billing entries with no real movement of goods were used to make outflows look like trade payments. These were mapped as evidence.	CRITICAL
Amount diverted	Of ₹347 crore of lender exposure analysed, over ₹200 crore was identified as diverted.	CRITICAL

RAG key: CRITICAL (RED) HIGH (AMBER) MODERATE (GREEN)

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Control Gaps and Recommendations

- **End-use monitoring:** lenders relied on the borrower's own certificates rather than checking where the money actually went after disbursement.
- **Related-party identification:** no independent check of shared directors, shareholders or addresses across counterparties.
- **Trade substance:** invoices were accepted without checking delivery documents, GST filings or whether the counterparty actually operated.
- **Early-warning signals:** unusual flows between group companies and sudden growth in inter-company balances did not trigger a review.
- **Board oversight:** related-party transactions went through without proper audit committee approval or disclosure.

Recommendations

RECOMMENDATION	ADDRESSES	PRIORITY
Verify end use independently by tracing disbursed funds to beneficiaries, rather than relying on borrower certificates	End-use monitoring	HIGH
Screen counterparties against registry data for shared directors, shareholders and addresses	Related-party identification	HIGH
Match invoices to delivery documents and GST filings before accepting trade flows	Trade substance	HIGH

RECOMMENDATION	ADDRESSES	PRIORITY
Set early-warning triggers for unusual flows between group companies and rapid growth in inter-company balances	Early-warning signals	MEDIUM
Require audit committee approval and disclosure review for all related-party transactions	Board oversight	MEDIUM

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Outcome

> The lenders received an evidence pack, with every entry linked to a source document, to support their case in the insolvency proceedings. They also received recommendations to tighten end-use monitoring and related-party checks on other accounts.

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Skills Used

Fund-flow & bank-trace analysis · Financial statement forensics · IAS 24 related-party review · IFRS 9 / NPA exposure · Corporate registry research · Advanced Excel · Power BI · Intella eDiscovery · IBC / CIRP

KEY TAKEAWAYS

1. Borrower certificates do not prove end use. The money has to be traced to where it went.
2. Registry data (shared directors, shareholders and addresses) shows related parties that disclosures leave out.
3. Fake billing shows up as invoices with no delivery trail behind them.

UAE

Relevance to UAE Roles

CBUAE-regulated banks run the same end-use and early-warning controls tested here, and UAE bankruptcy law allows creditors to challenge similar transactions. This work is relevant to fraud investigation, credit review and AML roles in UAE banks.